TOPIC 3 · ECONOMIC ISSUES

Australian Financial Review (Madeleine Bower)
5 November 2026

Data centres could use twice the power of every home in Sydney

> A NSW parliamentary inquiry warns the state's data-centre boom could swamp the electricity grid and derail its emissions targets. It also found nobody knows the true demand, because of 'phantom' connection requests.

WHAT HAPPENED

- The $50b of data centres planned in NSW could use up to 25,719 GWh a year. Greater Sydney's 1.9 million households use 11,400 GWh.
- Ausgrid says data centres use about 4% of NSW electricity now, which could rise to 17–30% by 2040.
- 'Phantom demand' clouds the picture: Oxford Economics estimates six in every seven megawatts requested are speculative, and only about 20% of connection applications go ahead.
- The committee made more than two dozen recommendations, including 100% renewable supply on an hourly basis, less diesel backup, a public register and an AI strategy.
- Thirteen firms, including Amazon, Microsoft, Google and Anthropic, declined or did not respond to invitations to give evidence.

25,719 GWh
Possible annual use of planned NSW data centres

2×
That demand compared with all greater Sydney households

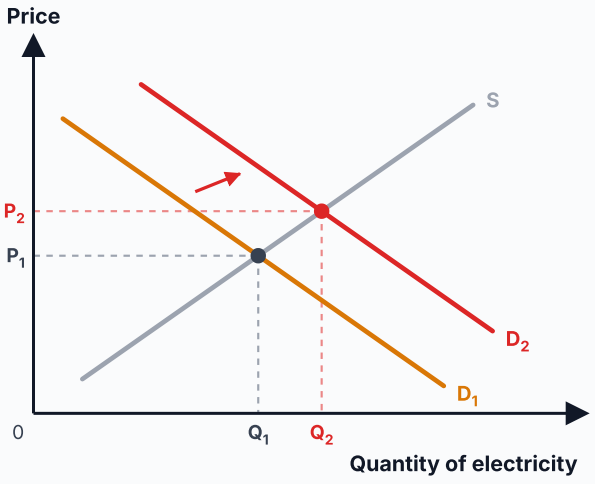
4% → 30%
Data centres' share of NSW electricity load, now to 2040 (upper estimate)

Phantom demand: speculative grid-connection requests that will never be built, which distort forecasts

Environmental sustainability: meeting current needs without degrading resources for future generations

DIAGRAM

Data centres and the market for electricity



Data-centre growth shifts electricity demand from **D_1 to D_2**. Unless supply expands as fast, the wholesale price rises from **P_1 to P_2**, and every household and business pays more.

If the extra quantity (**Q_1 to Q_2**) comes from fossil fuels, emissions rise too. That is why the committee wants data centres to bring their own renewable supply.

Exam angle: Evaluate the policy options: **regulation** (100% renewable supply, a register) versus **market-based** approaches (connection charges, carbon pricing). Mention the risk of **discouraging investment**.

SYLLABUS LINK

Topic 3 – Environmental sustainability and energy-market pressures; Topic 4 – Environmental management policies.

TRY THIS

1. Using a diagram, explain how rapid data-centre growth could affect electricity prices. **(4 marks)**
2. Evaluate a requirement for data centres to supply 100% renewable energy. **(6 marks)**

Read more: AFR – Data centres could use twice the power of all the houses in Sydney (5 Nov 2026)

Summary written in our own words for classroom use